

INVESTMENT THESIS • 1,000 LIVE STARTUPS

Bet on B2B AI. Not the category.

The AI label is drawing capital and builders alike. The revenue is telling a narrower story.

Crowded isn't the same as compounding

Share of startups



19.7%

Share of revenue



13.4%

AI is one-fifth of the market by headcount, one-eighth by revenue. Capital chasing the label alone is diluting itself.

AI is winner-take-most, twice over

48%

of ALL market revenue
goes to the top 10 startups

66%

of AI revenue alone
goes to the top 10 AI startups

Pick a winner in AI and the concentration is sharper than the broader market. This favors conviction bets, not diversified exposure.

B2B AI monetizes 5x better than B2C

B2B AI

\$1,357

MEDIAN MONTHLY REVENUE

B2C AI

\$278

MEDIAN MONTHLY REVENUE

Same category, same hype cycle — the business model underneath is what actually pays.

Where this points capital

1 Underweight the label

“AI” alone doesn't predict revenue. Screen the business model first.

2 Concentrate, don't diversify

66% of AI revenue sits with 10 startups. Diversified AI exposure buys mostly the losing 90%.

3 Prioritize B2B

5x the monetization of B2C, in the same category, at the same point in the hype cycle.